07

THE MAJOR DECISIONS

Houses, cars, and where to invest. Three categories that quietly determine whether you build wealth or burn it. By Sunday you'll have a rule for each one.

CK ACADEMY

A COLLECTIVE KINDNESS INITIATIVE

01 READ THIS FIRST

Three categories.

Houses, cars, and investments. Three categories where wrong moves are expensive for decades and right moves compound for decades. Most frum couples make at least one of them on emotion.

By Sunday you'll either have run the housing math, audited your transportation, or consolidated your investments. One specific action. Done.

WHAT THIS CLASS IS NOT

Not a debate about whether to buy or rent. Not a hot take on real estate vs index funds. Not a stock-picking tutorial. This is the page that ends with you having applied a specific rule to your specific situation, and made one move.

02 THE MIRROR

Five numbers. They pick your move for you.

WRITE THE NUMBERS FROM YOUR OWN LIFE

These numbers diagnose where to focus this week. We're not picking the most interesting category, we're following the math to your biggest gap.

1. Total monthly housing cost (rent OR mortgage + tax + insurance + maintenance)	$ _____
2. As % of monthly take-home	____ %
3. Total monthly transportation (all cars: payment, insurance, gas, maintenance)	$ _____
4. As % of monthly take-home	____ %
5. % of your invested money in low-cost index funds (VTI, VOO, target-date)	____ %

Read these in order. Stop at the first yes. That's your move.

If row 2 is over 28%: Housing is your move. Skip cars and investing this week. **Else if row 4 is over 15%:** Transportation is your move. **Else if row 5 is under 90%:** Investing consolidation is your move. **If all three pass:** You're in the top 5% of your peer group. Pick the next-most-vulnerable area and tighten anyway.

03 THE THREE RULES

Boring. Wins.

All three categories share one truth: the boring choice almost always beats the exciting one over 30 years. Index over picking. Used over new. Smaller home over stretched mortgage.

Housing: 25%/5/20

Total housing under **25%** of take-home. Plan to stay **5+ years** if buying (transaction costs eat short-term gains). Have **20% down** without touching emergency fund. If any of those breaks, you can't actually afford it. Rent until you can.

Cars: used, not new

New cars lose 20-30% of value in the first 2 years. Buy a 2-4 year old used car and someone else absorbed that hit. Two leases at $525/month each = $94,000 over 15 years with no asset to show for it. Most frum families do this without realizing.

Investing: index, don't pick

Over 90% of professional fund managers fail to beat the index over 15 years. They have teams, terminals, models, information advantages. They still lose. What chance does your cousin's deal have? Buy VTI or VOO. Hold. Add. Don't touch.

04 THE RULE THAT SURVIVES EVERY PITCH

The rule.

BORING BEATS CLEVER

Index over picking. Used over new. Smaller home over stretched mortgage. When in doubt, the boring choice is the right choice. The exciting choice is what financial salesmen want you to make.

What this looks like in practice

Friend pitches you on a real estate deal that "can't miss" → polite no. Cousin's startup is your chance to get in early → polite no. New SUV is only $50/month more than the old → no, the lifetime cost is $40K more. Bigger house with longer commute → no, the math doesn't work even if it feels like "more home for the money."

THE COMMUNITY PITCH

Most frum couples will get pitched on at least one private investment deal by someone they trust. **The trust is exactly the problem.** Trust replaces due diligence. Most fail. The relationships outlive the money. Stay in the index.

05 WHERE THIS FAILS

Liquidity kills you.

Most investors get the strategy right and the behavior wrong. Here's exactly where the behavior fails for each of the three categories.

TRAP 1 / PANIC-SELLING STOCKS IN A CRASH

Real estate forces patience because selling takes months. Stocks let you panic-sell in seconds. The frictionless exit is what kills returns. **When the market drops 30%, you'll feel real fear and want to "protect what's left."** Decide RIGHT NOW that you won't. Put a written rule in the account: do not sell during a downturn.

TRAP 2 / THE COUSIN'S DEAL YOU CAN'T SAY NO TO

Friend, cousin, friend-of-a-friend pitches a "ground floor" investment. Real estate fund. Tech startup. "Can't miss." **Saying yes once means saying yes forever, because no isn't socially graceful after the first yes.** Practice the polite no now. Memorize it: "I love you, I trust you, but the rule I follow is don't invest in deals I can't evaluate at expert level. Hope it works."

TRAP 3 / THE NEW CAR LOOKS AFFORDABLE

Dealer offers "$489/month, 0% APR for 84 months." The monthly looks fine. **The total cost is $41,000 for a depreciating asset.** Run the alternative: a 3-year-old used Camry costs $18K cash, lasts 8 more years. The lifetime difference is $25-40K per car. Frum families with 2 cars are losing $50-80K to this one trap.

TRAP 4 / THE BIGGER MORTGAGE, JUSTIFIED BY INCOME GROWTH

"We can afford it because my income will grow." **Plan based on current income, not future income.** If income grows, you can upgrade later. If it doesn't (or one spouse leaves work for kids), you're stuck. Total housing under 25% NOW, not after the next promotion.

06 THE ACTION

BY SUNDAY, 9 PM

Do this. Now.

Do ONLY the move the Mirror picked for you. Skip the other two this week. The diagnostic told you which gap is biggest. Trust the math, don't second-guess it.

01 **If housing is over 25% of income:** Run the math on a 20% reduction (cheaper area, smaller place, refinance, roommates if rental). Write the specific scenario you'd choose if you had to cut by Sunday next month.

Most couples can't move tomorrow. But knowing the option exists changes how you think about the next decision.

02 **If transportation is over 15% of income:** Audit each car. What does each cost monthly all-in? Could one car be replaced with a used $12-15K cash purchase? Make the plan and timeline.

Two leases is the most common version of this trap. Ending one lease early sometimes makes sense even with the early-termination fee.

03 **If under 90% of investments are in index funds:** Log into your brokerage. Identify what's in actively-managed funds, individual stocks, or "alternative" investments. Plan to consolidate into VTI/VOO or a target-date index fund.

Don't sell at a loss without thinking about taxes. But if everything's in tax-advantaged accounts, just rebalance.

04 **Text your spouse the move you picked.** Use words: "Class 07 done. Move on [housing/cars/investing]. Action: [specific]."

If you're in great shape on all three (rare), pick the next-most-vulnerable area and tighten anyway.

PROOF OF COMPLETION

Either: written housing scenario with specific cut, transportation audit with specific car action, or brokerage screenshot showing current allocation + plan to consolidate. Text spouse with which move and what action.

07 THE CONVERSATION

Tonight. With your spouse.

RULES

30 minutes. Phone away. These are the conversations that decide where you live, what you drive, and what you build over decades. Specifics only. No "someday."

01 Did we ever run the 25% housing rule before our last housing decision? If we ran it now, would we have made the same choice?

If the answer is no, that's data for the next housing decision.

02 What are we really paying every month across all our cars? Did we know that number before tonight?

Most couples are surprised by the all-in number.

03 Have either of us ever said yes to an investment because of the relationship, not because we understood the deal? What happened?

Not blame. Just the data.

04 When the next market crash comes (and it will), what's our written rule for what we will and won't do?

Decide now while it's calm.

05 Of the three rules (25% housing, used cars, index investing), which one is hardest for us to follow and why?

Honest answer = real growth area.

SECTION TWO

Test.

10 questions. None of these can be answered from memory of the lesson. You'll need real numbers from your own life.

08 THE TEST

Test.

Each question requires real numbers, real names, or real decisions from your life. Do the work. Skipping defeats the point.

1. NUMBERS **Calculate your housing %: total monthly housing cost (mortgage + tax + insurance + maintenance, OR rent + renters insurance) divided by monthly take-home. Show the work. If over 28%, list 2 specific actions to bring it down within 12 months.**

2. NUMBERS **Total all transportation costs across every car you own or lease: payment, insurance, gas, maintenance, parking. As a % of take-home. If over 15%, what's the specific cut you'd make this year?**

3. DECISION **Log into your investment accounts. List what's in there: ticker, fund name, allocation %. What % is in low-cost index funds (VTI, VOO, VXUS, target-date funds)? If under 90%, plan to consolidate.**

4. TRAP TEST **Your close friend's brother pitches you on a "ground floor" real estate deal. Mid-six-figures expected return in 5 years. He says "can't miss." Write the exact response you'll give him. Must be sayable as written.**

5. REAL LIFE **Find one frum couple who upgraded house too aggressively and one who didn't. Without naming them, what's the difference in their financial trajectory now? What did each learn?**

08 THE TEST, CONTINUED

6. NUMBERS Cars math: lease at $525/month for 15 years = $94,500. Compare: used car bought for $15K cash, kept 8 years, replaced with another $15K used car for next 7 = $30K. Difference = $64,500. What would you do with $64K?

7. TRAP TEST Market drops 30% in 4 weeks. Your portfolio is down $40K. CNBC is screaming. Your cousin says he sold and is in cash. What do you do? Specific decision, written rule.

8. DECISION If you bought a home, did you stay 5+ years? Was housing under 25%? Did you have 20% down without emergency fund touch? Score 0-3. If you'd score it differently, what would you have done differently?

9. ACTION By Sunday, what's your ONE move? "By [date], I will have [specific action] on [housing / cars / investing]."

10. DECISION Of the three rules (25% housing, used cars, index investing), which one will be hardest for you to follow when the moment hits? Why? What specific commitment are you making now?

09 WHAT A STRONG ANSWER LOOKS LIKE

Reference.

These aren't right answers. They're examples of strong answers, written with real specificity. If yours are vaguer than these, redo them.

1. Strong: "Housing $2,400 + tax $400 + insurance $90 + maintenance budget $200 = $3,090. Take-home $9,500. = 32.5%. Two actions: refinance to lower rate (currently shopping), increase income (Class 06) to bring % down. Won't be able to move for 18 months due to lease." Weak: vague answer.

2. Strong: "Two cars: car A $400 lease + $140 insurance + $200 gas + $50 maintenance = $790. Car B $250 used loan + $130 + $180 + $80 = $640. Total $1,430. Take-home $9,500 = 15.1%. Cut: end lease on car A early, replace with $14K used Honda when lease ends in 8 months."

3. Strong: "Roth IRA: VTSAX 100% ($18K). 401(k): Target Date 2060 (95% index, fine). Taxable: 70% in VTI, 30% in 4 individual stocks I picked from a podcast. Plan: sell the 4 stocks (in tax-advantaged so no tax hit), rebalance to VTI."

4. Strong: "I love you and I trust you, and the rule I follow is I don't invest in deals I can't evaluate at expert level. I'm not the right LP for this. I hope it works for you." Sayable verbatim. No moralizing, no hedge, no "let me think about it."

5. Strong: "Couple A bought a house at 35% of income, second kid came, wife reduced hours. Five years later still tight, no savings, sometimes carrying credit card debt. Couple B rented an extra 3 years, bought at 23%, now have $80K in savings and zero stress about the next car. Same starting income."

6. Strong: "$64K invested at 9% over the same 15 years = $116,000 of growth. So the real cost of two leases over 15 years is closer to $210K vs the used car path. With $64K I'd fully fund a Roth (mine and spouse) for 7+ years and hit financial independence 4 years sooner."

7. Strong: "I do nothing. The written rule on my brokerage account says: do not sell during a downturn over 20%. Continue automatic monthly investing. Crashes are when shares are on sale. The investors who held through 2008 are millionaires; the ones who panicked locked in losses."

8. Strong: "Bought at 7 years stay (good), housing at 32% (bad), only 12% down with emergency fund touched (bad). Score 1/3. If I'd waited 18 more months, would have been 22% with 20% down without touching savings. Lesson for next time: the 25% rule isn't optional."

9. Strong: "By Sunday 11/24, I will have logged into all 3 investment accounts, listed every holding, and made a written plan to consolidate non-index holdings to VTI within 30 days." Time-bound. Verifiable.

10. Strong: "Index investing is hardest. When the market drops, I want to do something. My commitment: I'm setting up automatic monthly buys so the only action available is to keep buying. Selling will require my spouse's written agreement, which removes the impulse."